FRANKLIN TEMPLETON

Semi-Annual Management Report of Fund Performance

June 30, 2026

This semi-annual management report of fund performance contains financial highlights but does not contain either the semi-annual financial report or annual financial statements of the investment fund. You can get a copy of the semi-annual financial report or annual financial statements at your request, and at no cost, by calling 1.800.387.0830, by writing to us at 200 King Street West, Suite 1400, Toronto ON, M5H 3T4, or by visiting our website at www.franklintempleton.ca or SEDAR+ at www.sedarplus.ca. Securityholders may also contact us using one of these methods to request a copy of the investment fund's proxy voting policies and procedures, proxy voting disclosure record, or quarterly portfolio disclosure.

Co-Lead Portfolio Manager
Adrienne Young, CFA, MBA
Franklin Templeton Investments Corp.
Location: Calgary, AB

Co-Lead Portfolio Manager
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Location: Calgary, AB

Co-Lead Portfolio Manager
Brian A. Calder
Franklin Templeton Investments Corp.
Location: Calgary, AB

RESULTS OF OPERATIONS

As at June 30, 2026, total net asset value of Franklin Canadian Core Plus Bond Fund (the “Fund”) was $2.8 billion, which remained relatively flat from December 31, 2025.

During the 6-month period ended June 30, 2026, the Fund’s Series F generated a total return of 2.1%. Over the same period, the Fund’s benchmark, the FTSE Canada Universe Bond Index (the "Index"), generated 2.2%. The performance of the Fund’s other series is similar to that of its Series F units, except for differences in the expense structure. For the return of the Fund’s other series (if applicable), please refer to the “Past Performance” section.

Index performance comparison information is provided for reference only. It is important to note that the Fund’s return reflects the effect of fees and expenses for professional management, while an index does not have such costs.

Canada's economy began 2026 on a weak footing but showed signs of improvement during the second quarter, as April GDP rebounded following a soft first quarter, suggesting the earlier slowdown was temporary rather than the start of a prolonged downturn. Inflation accelerated during the period, with headline CPI rising to 3.2% year over year in May, driven primarily by higher gasoline prices following the Iran-related energy shock and rising food costs. Core inflation remained relatively stable, supported by easing housing and core goods prices. Meanwhile, labour market conditions remained soft, with the unemployment rate fluctuating between 6.5% and 7.0%. Against this backdrop, the Bank of Canada maintained a cautious stance, balancing subdued economic growth against renewed inflation pressures, while Canadian markets reflected ongoing concerns over energy prices, consumer weakness and the outlook for monetary policy.

During the period under review, the Fund underperformed its benchmark, primarily due to yield curve positioning.

Security selection was a leading contributor, due to selection in investment grade (IG) Energy and IG Financials sectors, and selection in federal government bonds. There were no selection detractors over the period.

Sector allocation also contributed to relative performance, largely due to positioning in federal government bonds, US-dollar denominated corporate high-yield bonds and Canadian dollar denominated corporate high-yield bonds. These gains were somewhat offset by the weaker performance of positions in provincial bonds and Bank Loans.

The yield curve positioning detracted over the period, while our managed currency exposure added relative value.

Average net assets of the series of the Fund that bear expenses have remained relatively flat for the six months ended June 30, 2026, resulting in expenses remaining relatively unchanged during the period. Income received from investments held, excluding net realized and/or unrealized gain (loss) on investments and derivatives, as applicable, remained relatively flat due to the results of the Fund's investment activities, including, but not limited to, those previously discussed for the period in review.

RECENT DEVELOPMENTS

The Canadian economy continues to initiate structural changes as it adapts to the ongoing uncertainty of U.S. tariff policy and tries to diversify its export-oriented economy. Canada’s immediate risk is the successful renegotiation of Canada–United States–Mexico Agreement. Markets have priced out additional rate cuts from the Bank of Canada with some strategists calling for Canadian rate hikes in the second half of 2026. Against these macro fundamentals and tight credit spreads, the Fund remain defensively positioned. Credit valuations, in the portfolio managers view, remain expensive relative to the state of the economy and yet the market’s appetite for corporate paper remains strong.

The portfolio managers approach is to remain highly selective, with a focus on higher-quality, shorter-duration credits in sectors with stable revenue streams and limited exposure to residential housing and the Canadian consumer. The portfolio managers favor quality over yield, and liquidity remains paramount in this environment.

Effective July 1, 2026, Rita Theil replaced Barbara J Reid as Chair of the Fund’s Independent Review Committee ("IRC"). Barbara J Reid remains a member of the IRC. The composition of the IRC may change from time to time but will be composed of persons who are independent of the Fund, the Manager and any entities related to the Manager.

FORWARD-LOOKING STATEMENTS

Investors should take note that certain statements in this report about a Fund, including its strategy and expected future performance, are forward-looking. Forward-looking statements are statements that are predictive in nature, depend upon or refer to future events or conditions, or that include words such as “may,” “will,” “should,” “could,” “expect,” “anticipate,” “intend,” “plan,” “believe,” or “estimate” or other similar expressions. Any statement that is made concerning future strategies or performance is also a forward-looking statement. Statements that look forward in time or include anything other than historical information are subject to risks and uncertainties, and actual results, actions or events could differ materially from those set forth in the forward-looking statements.

The forward-looking statements are by their nature based on numerous assumptions, which include, amongst other things, that (i) the Fund can attract and maintain investors and has sufficient capital under management to effect its investment strategies, (ii) the investment strategies will produce the results intended by the portfolio manager, and (iii) the markets will react and perform in a manner consistent with the investment strategies. Although the forward-looking statements contained herein are based upon what the portfolio manager believes to be reasonable assumptions, the portfolio manager cannot assure that actual results will be consistent with these forward-looking statements.

Forward-looking statements are not guarantees of future performance. Number of factors could contribute to different results, including, among other things, general economic, political and market factors, interest and foreign exchange rates, global equity and capital markets, business competition, technological change, changes in government regulations, unexpected judicial or regulatory proceedings and catastrophic events. This list of factors is not exhaustive. Investors should not place undue reliance on forward-looking information and should be aware that the Fund may not update any forward-looking statements, whether as a result of new information, future events or otherwise.

RELATED PARTY TRANSACTIONS

Franklin Templeton Investments Corp. (the "Manager") is an indirect wholly-owned subsidiary of Franklin Resources, Inc., a global investment management organization known as Franklin Templeton. The Manager is the manager, registrar and transfer agent and a principal distributor of the Fund. The Manager provides or arranges for the provision of these services for day-to-day Fund operations, including the marketing, promotion and distribution of the Fund and portfolio advisory services. In consideration of these management and portfolio advisory services, the Fund pays the Manager a monthly management fee plus applicable taxes, based on the average net asset value of each series of the Fund (except Series O, O-Hedged, OT and OT-Hedged, as applicable), calculated daily, as set out under Management Fees below. During the six months ended June 30, 2026, the Fund paid management fees of $2.4 million (2025–$2.5 million).

Franklin Templeton Services, LLC ("FTS") provides the Manager with fund accounting and portfolio valuation services in connection with the Fund, and provides certain back office administration services to the Manager. The Administration Fee, as discussed below, covers the cost of the services provided by FTS.

The Manager pays the operating expenses of the Fund, other than certain fund costs—which include, but are not limited to, the cost of compliance with new governmental and regulatory requirements, fees and expenses of the Fund's IRC, borrowing and interest costs and investor meeting costs (as permitted by Canadian securities regulation)—in exchange for the payment by the Fund of an annual fixed-rate administration fee of 0.10% plus applicable taxes, applied against the average daily net assets of the Fund ("Administration Fee"), except for ETF Series, which have an annual Administration Fee of 0.05%, and Series O, O-Hedged, OT and OT-Hedged, as applicable, which have no annual Administration Fee. The Manager will pay all operating expenses of Series O, O-Hedged, OT and OT-Hedged, as applicable, as part of its agreement with each investor. The Manager may, at its discretion, waive a portion of a series' Administration Fee or absorb certain fund costs. During the six months ended June 30, 2026, the Fund paid Administration Fees of $346,000 (2025 –$354,000).

During the six months ended June 30, 2026, the Manager waived fund costs of $7,000 (2025–$5,000). The decision to waive fees or absorb expenses is made at the discretion of the Manager.

As at June 30, 2026, Franklin Quotential Balanced Growth Portfolio held 11.4% of the Fund.

Portfolio Advisor

The Manager is the portfolio advisor and provides investment analysis and recommendations and executes or arranges for brokers to execute portfolio transactions.

Principal Distributor

As a principal distributor of the Fund, the Manager markets the Fund and arranges for the sale of the Fund through dealers across Canada. The Manager may retain companies to assist in the sale of certain series of units of the Fund.

The Manager's affiliate, FTC Investor Services Inc. ("FTC ISI"), also acts as a principal distributor for Series F, F-Hedged, FT, FT-Hedged, O, O-Hedged, OT, OT-Hedged, PF, PF-Hedged and PFT units of the Fund, as applicable.

For acting as a principal distributor of the applicable series, FTC ISI receives an inter-company service fee of 0.40% of the assets under management of the applicable series from the Manager with respect to those series of units.

Registrar and Transfer Agent

In addition to management and portfolio advisory services, the Manager acts as the registrar and transfer agent of the Fund. These services are in the normal course of operations and are covered by the Administration Fee paid by the Fund to the Manager.

Independent Review Committee

As required by National Instrument 81-107- Independent Review Committee for Investment Funds ("NI 81-107"), the Manager has established the IRC to review all conflict of interest matters identified and referred to the IRC by the Manager and to give its approval or recommendation, depending on the nature of the conflict of interest matter. Additional information about the IRC is available in the prospectus.

MANAGEMENT FEES

A portion of the management fee paid by the Fund to the Manager is for trail fees and sales commissions the Manager pays to dealers ("Dealer Compensation"). The trail fees are a percentage of the daily average net asset value of each series of the Fund, which is held by the dealer's clients. The remaining portion of the management fee is used to pay for portfolio advisory and administrative services related to the provision of portfolio advisory services. The following table outlines the Fund's annual management fee, as well as the portion of the management fee used to pay for Dealer Compensation and for portfolio advisory services as an approximate percentage of the management fee for each series:

Series	Management Fee (%)	Dealer Compensation (%)*	Investment management, investment management expenses, and other (%)
A	1.00	51.79	48.21
F	0.50	–	100.00
ETF	0.50	–	100.00

* Dealer compensation may include other fees related to distribution, which are not payable directly to dealers.

The management and administration fees for Series O, O-Hedged, OT and OT-Hedged, as applicable, are paid for by the unitholder directly to the Manager as follows:

- First C$200,000 to under $2.5 million—0.60%
- Next C$2.5 million to under $5 million—0.50%
- C$5 million and over—0.40%

Certain institutional investors may negotiate the management and administration fees by written agreement with Franklin Templeton Investments.

REGIONAL WEIGHTINGS (%)*

North America	97.70
Australia & New Zealand	0.58
Europe	0.58
Middle East & Africa	0.18
Latin America & Caribbean	0.03

ASSET CLASS WEIGHTINGS (%)

Canadian Government Bonds	36.20
Canadian Corporate Bonds	33.19
Foreign Corporate Bonds	23.67
Foreign Government Bonds	4.80
Preferred Stocks	1.21
Short-term securities and all other assets, net	0.93

TOP 25 HOLDINGS (%)

U.S. Treasury Notes, 4.375%, 05/15/2036	2.93
Province of Ontario, 2.900%, 12/02/2046	1.68
Province of Ontario, 2.650%, 12/02/2050	1.42
PSP Capital, Inc., Senior Bond, 4.250%, 12/01/2055	1.41
Province of Alberta, 3.100%, 06/01/2050	1.14
Canadian Government Bond, Senior Bond, 2.750%, 12/01/2055	1.11
Province of Alberta, 3.050%, 12/01/2048	1.03
Canada Housing Trust No. 1, Senior Bond, 1.100%, 03/15/2031	0.97
Province of Saskatchewan, Senior Bond, 3.800%, 06/02/2035	0.94
Ontario Teachers' Finance Trust, 4.000%, 06/02/2036	0.89
PSP Capital, Inc., Senior Note, 3.750%, 06/15/2029	0.89
Ontario Electricity Financial Corp., 40, Senior Bond, Zero Coupon, 04/11/2031	0.85
Province of Quebec, Senior Bond, 4.000%, 09/01/2035	0.85
Province of Ontario, Senior Bond, 4.650%, 06/02/2041	0.84
Cash and cash equivalents**	0.81
CPPIB Capital, Inc., Senior Note, 4.000%, 06/02/2035	0.81
Province of Alberta, 3.750%, 06/01/2036	0.80
U.S. Treasury Bonds, 4.625%, 11/15/2055	0.78
Canada Housing Trust No. 1, Senior Bond, 3.800%, 09/15/2036	0.76
PSP Capital, Inc., Senior Note, 4.150%, 06/01/2033	0.75
CPPIB Capital, Inc., Senior Note, 3.350%, 12/02/2030	0.72
U.S. Treasury Notes, 3.875%, 03/31/2031	0.71
CPPIB Capital, Inc., Senior Note, 3.350%, 12/02/2030	0.70
Province of Ontario, 2.150%, 06/02/2031	0.68
Province of Ontario, 3.600%, 06/02/2035	0.67

TOTAL NET ASSET VALUE: $2,808,253,000

* Excluding short-term securities and all other assets, net.

** Cash and cash equivalents may include bonds that have a remaining term to maturity of 365 days or less that are issued by certain governments, supranational agencies or financial institutions and have a "designated rating" (as defined in Canadian securities law).

Above is an outline of the investments held in the Fund as a percentage of the Fund's net assets. Due to ongoing portfolio transactions, the investments and percentages may have changed by the time you purchase units of the Fund. The top 25 holdings are made available quarterly, 60 days after the quarter-end. To obtain a copy, please contact a member of our client services team at 1.800.387.0830 or visit www.franklintempleton.ca.

FINANCIAL HIGHLIGHTS

The following tables show selected key financial information about the Fund and are intended to help you understand the Fund's financial performance for the six months ended June 30, 2026 and for the fiscal periods ended December 31.

	Series A					
Net assets per unit (1)	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Net assets – beginning of period	**$10.15**	**$10.20**	**$10.08**	**$9.76**	**$11.61**	**$12.18**
Increase (decrease) from operations:						
Total revenue	0.22	0.43	0.45	0.44	0.41	0.40
Total expenses	(0.06)	(0.12)	(0.12)	(0.12)	(0.13)	(0.14)
Realized gains (losses) for the period	(0.11)	(0.02)	(0.23)	(0.23)	(0.44)	(0.10)
Unrealized gains (losses) for the period	0.13	(0.04)	0.33	0.51	(1.39)	(0.37)
Total increase (decrease) from operations (2)	**0.18**	**0.25**	**0.43**	**0.60**	**(1.55)**	**(0.21)**
Distributions:						
From income (excluding dividends)	(0.15)	(0.31)	(0.30)	(0.30)	(0.37)	(0.36)
From dividends	—	—	—	(0.01)	(0.01)	(0.01)
From capital gains	—	—	—	—	—	—
Returns of capital	—	—	—	—	—	—
Total annual distributions (3)	**(0.15)**	**(0.31)**	**(0.30)**	**(0.31)**	**(0.38)**	**(0.37)**
Net assets – end of period	**$10.17**	**$10.15**	**$10.20**	**$10.08**	**$9.76**	**$11.61**

Ratios and supplemental data:	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Total net asset value ($ millions) (1)	$179.44	$192.15	$197.92	$182.28	$181.40	$253.28
Number of units outstanding (1)	17,639,026	18,934,903	19,397,095	18,089,582	18,589,236	21,818,658
Management expense ratio (2)	1.21%	1.22%	1.22%	1.22%	1.22%	1.21%
Management expense ratio before waivers or absorptions	1.21%	1.22%	1.22%	1.22%	1.22%	1.21%
Trading expense ratio (3)	—	—	—	—	—	—
Portfolio turnover rate (4)	51.95%	76.08%	67.32%	57.85%	104.88%	101.10%
Net asset value per unit	$10.17	$10.15	$10.20	$10.08	$9.76	$11.61

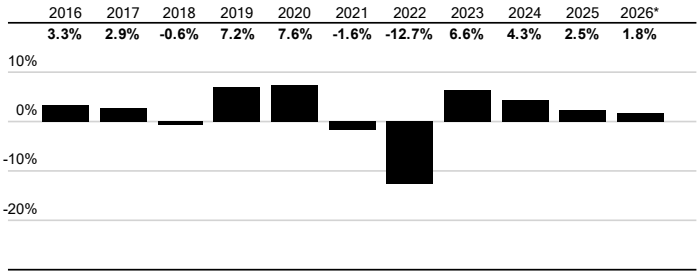
For explanatory notes, please refer to "Explanatory Notes to Financial Highlights" at the end of the section.

PAST PERFORMANCE

The following information assumes that all distributions made by the Fund in the periods shown were reinvested in additional securities of the Fund and does not take into account sales, redemption, distribution or other optional charges that would have reduced returns. Past performance does not necessarily indicate how the Fund will perform in the future.

Year-by-Year Returns

The bar chart shows the Fund's performance for the six-month period ended June 30, 2026, and for each of the previous 12-month periods ended December 31. In percentage terms, the bar chart indicates how much an investment made on January 1 of the applicable year would have grown or decreased by the end of the period.



**For the period January 1 to June 30, 2026*

FINANCIAL HIGHLIGHTS

The following tables show selected key financial information about the Fund and are intended to help you understand the Fund's financial performance for the six months ended June 30, 2026 and for the fiscal periods ended December 31.

	Series F					
Net assets per unit (1)	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Net assets – beginning of period	**$11.75**	**$11.81**	**$11.67**	**$11.30**	**$13.36**	**$13.95**
Increase (decrease) from operations:						
Total revenue	0.26	0.51	0.53	0.52	0.46	0.46
Total expenses	(0.04)	(0.08)	(0.08)	(0.08)	(0.08)	(0.09)
Realized gains (losses) for the period	(0.11)	(0.02)	(0.27)	(0.29)	(0.51)	(0.11)
Unrealized gains (losses) for the period	0.13	(0.06)	0.40	0.63	(1.58)	(0.51)
Total increase (decrease) from operations (2)	**0.24**	**0.35**	**0.58**	**0.78**	**(1.71)**	**(0.25)**
Distributions:						
From income (excluding dividends)	(0.21)	(0.42)	(0.40)	(0.40)	(0.43)	(0.42)
From dividends	—	(0.01)	(0.01)	(0.02)	(0.01)	(0.01)
From capital gains	—	—	—	—	—	—
Returns of capital	—	—	—	—	—	—
Total annual distributions (3)	**(0.21)**	**(0.43)**	**(0.41)**	**(0.42)**	**(0.44)**	**(0.43)**
Net assets – end of period	**$11.78**	**$11.75**	**$11.81**	**$11.67**	**$11.30**	**$13.36**

Ratios and supplemental data:	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Total net asset value ($ millions) (1)	$343.38	$410.01	$361.61	$291.73	$200.31	$251.16
Number of units outstanding (1)	29,152,012	34,894,758	30,607,903	25,008,234	17,727,996	18,793,862
Management expense ratio (2)	0.67%	0.67%	0.67%	0.67%	0.67%	0.67%
Management expense ratio before waivers or absorptions	0.67%	0.67%	0.67%	0.67%	0.67%	0.67%
Trading expense ratio (3)	—	—	—	—	—	—
Portfolio turnover rate (4)	51.95%	76.08%	67.32%	57.85%	104.88%	101.10%
Net asset value per unit	$11.78	$11.75	$11.81	$11.67	$11.30	$13.36

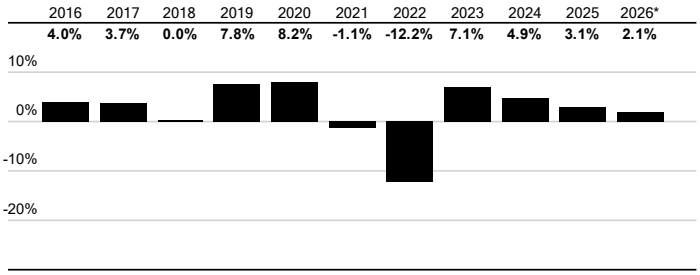
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Year-by-Year Returns

The bar chart shows the Fund's performance for the six-month period ended June 30, 2026, and for each of the previous 12-month periods ended December 31. In percentage terms, the bar chart indicates how much an investment made on January 1 of the applicable year would have grown or decreased by the end of the period.



**For the period January 1 to June 30, 2026*

FINANCIAL HIGHLIGHTS

The following tables show selected key financial information about the Fund and are intended to help you understand the Fund's financial performance for the six months ended June 30, 2026 and for the fiscal periods ended December 31.

	Series O					
Net assets per unit (1)	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Net assets – beginning of period	**$13.95**	**$14.02**	**$13.85**	**$13.42**	**$15.76**	**$16.33**
Increase (decrease) from operations:						
Total revenue	0.31	0.60	0.62	0.61	0.56	0.54
Total expenses	—	—	—	—	—	—
Realized gains (losses) for the period	(0.15)	(0.03)	(0.33)	(0.32)	(0.61)	(0.14)
Unrealized gains (losses) for the period	0.18	(0.04)	0.46	0.70	(1.70)	(0.48)
Total increase (decrease) from operations (2)	**0.34**	**0.53**	**0.75**	**0.99**	**(1.75)**	**(0.08)**
Distributions:						
From income (excluding dividends)	(0.29)	(0.59)	(0.57)	(0.57)	(0.50)	(0.49)
From dividends	—	(0.01)	(0.01)	(0.02)	(0.01)	(0.01)
From capital gains	—	—	—	—	—	—
Returns of capital	—	—	—	—	—	—
Total annual distributions (3)	**(0.29)**	**(0.60)**	**(0.58)**	**(0.59)**	**(0.51)**	**(0.50)**
Net assets – end of period	**$13.98**	**$13.95**	**$14.02**	**$13.85**	**$13.42**	**$15.76**

Ratios and supplemental data:	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Total net asset value ($ millions) (1)	$2,147.98	$2,112.43	$1,981.85	$1,444.38	$1,452.55	$1,594.94
Number of units outstanding (1)	153,598,157	151,425,408	141,294,074	104,242,820	108,272,065	101,224,011
Management expense ratio (2)	—	—	—	—	—	—
Management expense ratio before waivers or absorptions	—	—	—	—	—	—
Trading expense ratio (3)	—	—	—	—	—	—
Portfolio turnover rate (4)	51.95%	76.08%	67.32%	57.85%	104.88%	101.10%
Net asset value per unit	$13.98	$13.95	$14.03	$13.85	$13.42	$15.76

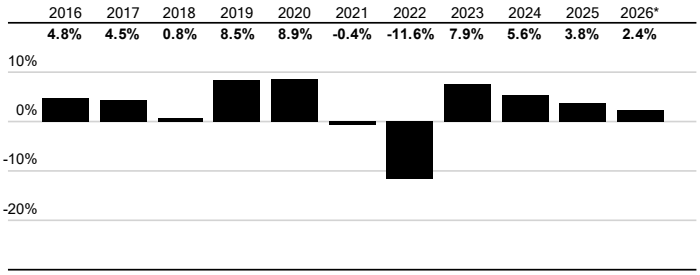
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**For the period January 1 to June 30, 2026*

FINANCIAL HIGHLIGHTS

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	ETF Series					
Net assets per unit (1)	**June 30, 2026**	**December 31, 2025**	**December 31, 2024**	**December 31, 2023^**	**September 30, 2022**	**September 30, 2021**
Net assets – beginning of period	**$17.92**	**$18.02**	**$17.79**	**$17.06**	**$20.07**	**$20.71**
Increase (decrease) from operations:						
Total revenue	0.39	0.78	0.79	0.37	0.64	0.88
Total expenses	(0.05)	(0.11)	(0.11)	(0.05)	(0.12)	(0.13)
Realized gains (losses) for the period	(0.22)	(0.06)	(0.42)	(0.23)	(0.29)	—
Unrealized gains (losses) for the period	0.26	(0.07)	0.66	1.51	(2.55)	(0.91)
Total increase (decrease) from operations (2)	**0.38**	**0.54**	**0.92**	**1.60**	**(2.32)**	**(0.16)**
Distributions:						
From income (excluding dividends)	(0.33)	(0.66)	(0.63)	(0.32)	(0.49)	(0.45)
From dividends	—	—	—	(0.01)	(0.01)	—
From capital gains	—	—	—	—	—	(0.25)
Returns of capital	—	—	—	—	—	—
Total annual distributions (3)	**(0.33)**	**(0.66)**	**(0.63)**	**(0.33)**	**(0.50)**	**(0.70)**
Net assets – end of period	**$17.97**	**$17.92**	**$18.02**	**$17.79**	**$17.35**	**$20.07**

Ratios and supplemental data:	**June 30, 2026**	**2025**	**2024**	**2023**	**2022**	**2021**
Total net asset value ($ millions) (1)	$137.45	$111.12	$116.22	$69.39	$47.71	$36.12
Number of units outstanding (1)	7,650,000	6,200,000	6,450,000	3,900,000	2,750,000	1,800,000
Management expense ratio (2)	0.61%	0.61%	0.62%	0.62%	0.62%	0.63%
Management expense ratio before waivers or absorptions	0.61%	0.61%	0.62%	0.62%	0.62%	0.63%
Trading expense ratio (3)	—	—	—	—	—	—
Portfolio turnover rate (4)	51.95%	76.08%	67.32%	57.85%	—	—
Net asset value per unit	$17.97	$17.92	$18.02	$17.79	$17.35	$20.07
Closing market price	$17.98	$17.94	$18.06	$17.82	$16.99	$20.07

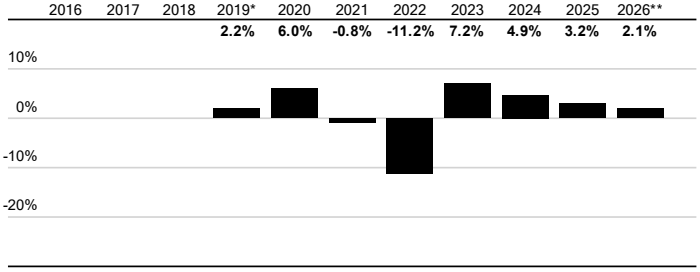
For explanatory notes, please refer to "Explanatory Notes to Financial Highlights" at the end of the section.
^ For the period July 7, 2023 to December 31, 2023

PAST PERFORMANCE

The following information assumes that all distributions made by the Fund in the periods shown were reinvested in additional securities of the Fund and does not take into account sales, redemption, distribution or other optional charges that would have reduced returns. Past performance does not necessarily indicate how the Fund will perform in the future.

Year-by-Year Returns

The bar chart shows the Fund's performance for the six-month period ended June 30, 2026, and for each of the previous 12-month periods ended December 31. In percentage terms, the bar chart indicates how much an investment made on January 1 of the applicable year would have grown or decreased by the end of the period.



** 2019 ETF Series return: From July 8 to September 30*
***For the period January 1 to June 30, 2026*
• Returns for years 2022 and earlier reflects the performance of Terminated ETF, as at September 30 of each year shown.

NOTES TO FINANCIAL HIGHLIGHTS

Net Assets per Unit:

(1) This information is derived from the Fund's unaudited interim financial statements and audited annual financial statements. In the period a fund or series is established, the financial information is provided from the date of inception to the end of the period. In cases where the net assets per unit presented in the financial statements differ from the net asset value calculated for Fund pricing purposes, an explanation of these differences can be found in the notes to the financial statements.

The financial data shown for each of the periods ended September 30 in the Fund's ETF Series is that of Franklin Bissett Core Plus Bond Active ETF ("Terminated ETF"), which was merged with the Fund on July 7, 2023 and commenced offering ETF Series on July 10, 2023.

(2) Net assets and distributions are based on the actual number of units outstanding at the relevant time. The increase/(decrease) in net assets from operations is based on the weighted average number of units outstanding over the fiscal period. This table is not intended to be a reconciliation of opening and closing net assets per unit.

(3) Distributions were paid in cash or reinvested in additional units of the Fund or both, and exclude distributions of management fee reductions to unitholders.

Ratios and Supplemental Data:

(1) This information is provided as at the period-end of the year shown.

(2) Management expense ratio is based on total expenses for the stated period and is expressed as an annualized percentage of daily average net asset value during the period.

(3) The trading expense ratio represents total commissions and other portfolio transaction costs expressed as an annualized percentage of net asset value during the period.

(4) The Fund's portfolio turnover rate indicates how actively the Fund's portfolio manager manages its portfolio investments. A portfolio turnover rate of 100% is equivalent to the Fund buying and selling each security in its portfolio once in the course of the relevant period. The higher the portfolio turnover rate in the period, the greater the trading costs payable by the Fund and the greater the chance of an investor receiving taxable capital gains in the year. There is not necessarily a relationship between a high turnover rate and the performance of the Fund.

OTHER FUND INFORMATION

Reported year-by-year returns for past years may be revised, based on the results of recalculations, audits and/or other historical review processes. Such revisions are considered immaterial to performance disclosure unless otherwise stated.

Series I and V, as applicable, are presently capped (closed to new investors). Investors who currently own units of Series I and Series V may continue to purchase additional units in those series. These series may become available for purchase by new investors at the discretion of the Manager.

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